

HARTLEY MANUFACTURING CORP.

Annual Report

For the Fiscal Year Ended December 31, 20X3

*Selected Excerpts from the Audited Financial Statements and Accompanying
Notes*

Incorporated under the laws of the State of Delaware

Principal Executive Offices: 4500 Industrial Parkway, Wilmington, DE 19801

Common Stock listed on the New York Stock Exchange under symbol "HMC"

Selected Financial Highlights

The following table presents selected financial data for the fiscal years ended December 31, 20X3 and 20X2. All amounts are stated in U.S. dollars. Per-share amounts have been adjusted retrospectively for the effect of the stock dividend distributed during fiscal 20X3, where applicable.

	FY 20X3	FY 20X2
Net revenues	\$ 48,250,000	\$ 41,920,000
Operating income	\$ 7,180,000	\$ 6,340,000
Net income attributable to common shareholders	\$ 4,512,000	\$ 3,847,500
Total assets	\$ 92,400,000	\$ 81,150,000
Total shareholders' equity	\$ 38,720,000	\$ 33,420,000
Basic earnings per common share	\$ 19.20	\$ 25.92
Diluted earnings per common share	\$ 18.64	\$ 25.12
Cash dividends declared per common share	\$ 2.40	\$ 2.20

Basic and diluted earnings per share for fiscal 20X2 are presented as originally reported and have not been restated for the 20X3 stock dividend. See Note 5 to the Financial Statements for the computation of weighted average shares for the current period.

Notes to the Financial Statements

Note 5 — Shareholders' Equity and Earnings Per Share

(a) Capital Stock. The Company is authorized to issue 1,000,000 shares of common stock, par value \$1.00 per share, and 200,000 shares of preferred stock, par value \$50.00 per share. No preferred shares were issued or outstanding during fiscal 20X3 or fiscal 20X2. Common shares held in treasury totaled 10,000 at both December 31, 20X3 and December 31, 20X2. Treasury shares are excluded from shares outstanding for all purposes including the computation of earnings per share.

(b) Common Share Activity. The following table summarizes activity in common shares issued and outstanding (excluding treasury shares) during fiscal 20X3:

Description	Date	Shares	Shares Outstanding
Balance, January 1, 20X3	—	—	150,000
Stock dividend distributed (Note 5(c))	March 1, 20X3	75,000	225,000
Common shares issued for cash (Note 5(d))	November 1, 20X3	60,000	285,000
Balance, December 31, 20X3	—	—	285,000

(c) Stock Dividend. On February 8, 20X3, the Board of Directors declared a stock dividend at the rate of one additional share for every two shares held by shareholders of record as of February 22, 20X3. The dividend was distributed on March 1, 20X3, resulting in the issuance of 75,000 additional common shares. No cash consideration was received by the Company in connection with the stock dividend.

(d) Common Shares Issued for Cash. On November 1, 20X3, the Company completed a private placement of 60,000 common shares at \$42.00 per share, generating gross proceeds of \$2,520,000. Net proceeds, after underwriting discounts and offering expenses of \$120,000, totaled \$2,400,000.

Notes to the Financial Statements (continued)

Note 5 — Shareholders' Equity and Earnings Per Share (continued)

(e) Accounting Policy for Weighted Average Shares Outstanding. Basic earnings per common share is computed by dividing net income attributable to common shareholders by the weighted average number of common shares outstanding during the period. In accordance with U.S. generally accepted accounting principles, shares issued in connection with a stock dividend or stock split are treated as if they had been outstanding from the beginning of the earliest period presented in the financial statements. Common shares issued for cash consideration are weighted by the portion of the fiscal year during which they were outstanding, measured in months.

(f) Computation of Weighted Average Common Shares Outstanding for Fiscal 20X3. The components of the weighted average number of common shares outstanding used in the computation of basic earnings per share for the fiscal year ended December 31, 20X3 are detailed in the following schedule. The shares issued under the March 1, 20X3 stock dividend (Note 5(c)) are deemed to have been outstanding from January 1, 20X3. Shares issued for cash on November 1, 20X3 are weighted by the two months they were outstanding during fiscal 20X3.

Component	Shares	Weighting Factor	Weighted Shares
Shares outstanding January 1, 20X3	150,000	12 / 12	[to be computed]
Stock dividend (deemed outstanding from January 1, 20X3)	3,000	12 / 12	[to be computed]
Cash issuance November 1, 20X3	60,000	2 / 12	[to be computed]
Weighted average common shares outstanding, FY 20X3			[to be computed]

(g) Prior Period Comparative. Weighted average common shares outstanding for the fiscal year ended December 31, 20X2 was 148,750, calculated retrospectively after giving effect to the March 1, 20X3 stock dividend. As originally reported prior to the stock dividend adjustment, weighted average shares for fiscal 20X2 was 99,167.

(h) Dilutive Securities. The Company had 12,000 outstanding employee stock options at December 31, 20X3 with a weighted average exercise price of \$28.50 per share. Under the treasury stock method, these options contributed an incremental 7,000 shares to the diluted weighted average share count of 242,000 for fiscal 20X3.